

Hertz Global Holdings, Inc.: financial statement scan

Fiscal years 2010 to 2013 and the fourth quarter of 2013 against the fourth quarter of 2012. Figures in USD millions unless stated. These are things to check, not findings.

Measure	FY2010	FY2011	FY2012	FY2013	Q4 2012	Q4 2013	Industry
Days sales outstanding	65.5	71.1	76.5	51.3	74.8	54.4	42.0
Days inventory	5.2	4.7	5.6	4.1	5.4	4.1	
Days payable	56.6	50.6	52.7	42.7	50.9	42.8	
Receivables growth – revenue growth (pts)		+9.4	+8.0	–39.2	+1.6	–30.0	
Inventory growth – cost growth (pts)		–9.1	+18.5	–31.9	+12.0	–27.9	
Payables growth – cost growth (pts)		–11.2	+4.0	–22.3	–2.6	–18.3	
Allowance, % of gross receivables	1.4	1.2	1.3	2.0			
Gross margin, %	18.7	22.0	23.0	23.2	22.1	18.5	
Operating margin, %	9.9	13.0	12.5	13.7	7.8	9.9	5.9
Accruals, % of average assets		–11.6	–12.1	–13.5			
Free cash flow, \$m	1,107.0	347.7	–82.9	241.5			
Net income, \$m	–31.3	195.7	243.1	346.2	–36.8	–0.6	
Depreciation rate, rental equipment, %		16.1	15.2	14.3			
Depreciation rate, other property, %		7.6	7.3	7.9			
Beneish M-score		–2.93	–2.72	–3.24			
Receivables, % of sales	17.9	19.5	20.9	14.0			11.5
Inventory, % of sales	1.2	1.0	1.2	0.9			0.5
Payables, % of sales	12.6	10.8	11.1	9.0			4.5
Capital spending ÷ depreciation	0.58	0.91	1.21	1.28			1.4

Cost line: direct operating plus depreciation of revenue earning equipment and lease charges. Substitutes: other property at cost includes land; the M-score uses total liabilities ÷ total assets for leverage and cash, receivables, inventories and prepaid expenses as current assets; both Q4 income statements come from the FY2013 results release (the spreadsheet's Q4 2013 is mixed basis); rental depreciation is the Note 8 charge before the disposal adjustment, FY2011–13 as shown in the FY2013 report. Industry: Transportation averages (rental and leasing has no row of its own).

Flags, largest first

1. Receivables fell 19.8% in FY2013 while revenue rose 19.4%, taking days sales outstanding from 76.5 to 51.3 (Q4: 74.8 to 54.4) after two years of increases. Vehicle-sale proceeds sitting in receivables fell from \$617.3m to \$357.3m, and the end-2012 balance included Dollar Thrifty, acquired November 2012 (2012 acquisitions outflow \$1,904.6m).
Size: 113% of pre-tax income (\$746m: receivables at FY2012 days, \$2,258.9m, less the \$1,512.6m balance). It has run one year.
2. Payables are 9.0% of sales against 4.5% for the industry, which is the Transportation group, not rental and leasing. Payables include amounts owed for fleet purchases (\$289.1m sat in payables and accrued liabilities at end-2013).
Size: 73% of pre-tax income (\$483m: the \$967.9m balance less 4.5% of sales). The share exceeds 4.5% at all four year-ends, though the industry figure is for 2013 only.
3. Payables fell 3.1% in FY2013 while costs rose 19.2%, taking days payable from 52.7 to 42.7 (Q4: 50.9 to 42.8). The end-2012 balance included Dollar Thrifty's payables against about six weeks of its costs.
Size: 34% of pre-tax income (\$226m: payables at FY2012 days, \$1,194.2m, less the \$967.9m balance). It has run one year, and two Q4 comparisons (52.1, 50.9, 42.8).
4. The depreciation rate on rental equipment fell from 16.1% (FY2011) to 15.2% to 14.3%. Note 8 reports rate reductions on U.S. rental cars that cut the charge by \$139.4m in 2012 and \$44.2m in 2013, and the adjustment on disposal swung from a \$96.8m gain to a \$37.2m loss.
Size: 23% of pre-tax income (\$152m: the charge at the FY2012 rate on average gross rental equipment of \$16,878.9m, less the \$2,407.8m taken). It has run two years.
5. Q4 gross margin fell from 22.1% to 18.5% while the full-year margin held (23.0% to 23.2%). Direct operating costs rose from 54.2% to 56.3% of revenue, and depreciation and lease charges from 23.7% to 25.2%.
Size: 14% of pre-tax income (\$90m: the 3.5-point fall times Q4 revenue of \$2,556.3m; the quarter's revenue is used, not the year's, because the fall is one quarter's). It has run one Q4 comparison.

Revised figures: the FY2013 annual report lowered pre-tax income by \$18.7m for FY2011 (324.3 to 305.6) and \$9.1m for FY2012 (450.5 to 441.4), net income by \$11.9m and \$4.5m, and end-2012 equity by \$21.1m (2,507.3 to 2,486.2); the fiscal-year columns above are as first reported.

Not calculated: Q4 accruals and free cash flow (the releases give no quarterly operating cash flow and the spreadsheet's Q4 2013 cash flow is mixed basis); quarterly depreciation rates (the note is annual); FY2010 growth gaps, accruals, depreciation rates and M-score (no 2009 balance sheet); land and construction in progress (not shown separately); industry gross margin.